

COMMITTEE ON PUBLIC SAFETY
SENATE AMENDMENTS TO H.B. 2402
(Reference to House engrossed bill)

Amendment instruction key:

[GREEN UNDERLINING IN BRACKETS] indicates text added to statute or previously enacted session law.

[Green underlining in brackets] indicates text added to new session law or text restoring existing law.

[GREEN STRIKEOUT IN BRACKETS] indicates new text removed from statute or previously enacted session law.

[Green strikeout in brackets] indicates text removed from existing statute, previously enacted session law or new session law.

<<Green carets>> indicate a section added to the bill.

<<Green strikeout in carets>> indicates a section removed from the bill.

1 The bill as proposed to be amended is reprinted as follows:

2 Section 1. Section 36-2208, Arizona Revised Statutes, is amended to
3 read:

4 36-2208. Bureau of emergency medical services and trauma
5 system; annual statewide plan; regional plans

6 A. ~~There is established within the department a~~ THE bureau of
7 emergency medical services and trauma system ~~that is responsible for~~
8 ~~coordinating, establishing and administering~~ ESTABLISHED IN THE DEPARTMENT
9 TO COORDINATE, ESTABLISH AND ADMINISTER a statewide system of emergency
10 medical services, trauma care and a trauma registry.

11 B. This chapter does not prevent any individual, law enforcement
12 officer, public agency or member of a city, town, fire district or
13 volunteer fire department from rendering on-site emergency medical care
14 or, if, in terms of the existing medical situation, it is deemed not
15 advisable to await the arrival of an ambulance, from transporting
16 emergency medical patients to a hospital or an emergency receiving
17 facility, except that if any patient objects on religious grounds, that
18 patient shall not be administered any medical treatment or be transported
19 to a hospital or an emergency receiving facility.

20 C. The director shall develop an annual statewide emergency medical
21 and trauma services plan and submit that plan to the council for review
22 and approval. The statewide plan shall then be submitted to the governor
23 for final adoption. Before submitting the plan to the governor, the
24 director shall accept comments from the authorized local agencies and
25 governmental entities.

26 D. ~~A~~ EACH local emergency medical services coordinating system
27 shall develop a regional emergency medical services plan that includes a
28 needs assessment and SHALL submit the plan to the director, THE SPEAKER OF
29 THE HOUSE OF REPRESENTATIVES, THE PRESIDENT OF THE SENATE and ~~to~~ the

1 authorized local agencies within the area. The DEPARTMENT SHALL INTEGRATE
2 THE regional plans ~~shall be integrated~~ into the statewide plan ~~by the~~
3 ~~department~~.

4 E. The ~~state~~ STATEWIDE plan shall contain a budget component for
5 funding local and state emergency medical services systems from the
6 emergency medical services operating fund established ~~pursuant to~~ BY
7 section 36-2218 based on the needs assessment of the local emergency
8 medical services coordinating system plans. The components shall be
9 included in the department's budget through the normal appropriation
10 process.

11 Sec. 2. Section 36-2217, Arizona Revised Statutes, is amended to
12 read:

13 36-2217. Exemption from regulation

14 A. This chapter does not apply to:

15 1. Vehicles used for the emergency transportation of persons
16 injured at an industrial site.

17 2. Persons engaged in and vehicles used for air transportation of
18 sick or injured people in a noncritical or nonemergency situation as
19 determined by a physician.

20 3. Medical evacuation equipment used and owned by the department of
21 public safety in air, ground or water evacuation, ~~and~~ including fixed wing
22 aircraft, helicopters, ground ambulances and similar ground conveyances,
23 snowmobiles and water traversing equipment.

24 4. Vehicles provided or contracted for emergency medical services
25 by a political subdivision if these vehicles are primarily used to provide
26 on the scene stabilization of sick, injured, wounded, incapacitated or
27 helpless persons.

28 5. Ambulances from other states that are:

29 (a) Responding to a major catastrophe or emergency in this state
30 because there are insufficient registered ambulances in this state to
31 respond in that situation.

32 (b) EITHER operating ~~either~~ from a location outside of this state
33 to transport a patient to a location within this state or operating from a
34 location outside of this state and crossing through this state to
35 transport a patient to a location outside this state.

36 6. [AMBULANCE SERVICE PROVIDERS THAT ARE RESPONDING WITH]
37 REGISTERED AMBULANCES FROM THIS STATE [THAT ARE RESPONDING] TO A MAJOR
38 CATASTROPHE, NATURAL DISASTER OR WILDLAND FIRE EVENT IN THIS STATE BECAUSE
39 THERE ARE INSUFFICIENT [AMBULANCE SERVICE PROVIDERS RESPONDING WITH]
40 REGISTERED AMBULANCES IN THE AREA AFFECTED BY THE MAJOR CATASTROPHE,
41 NATURAL DISASTER OR WILDLAND FIRE EVENT.

42 ~~6.~~ 7. Stretcher vans that meet the requirements of section
43 36-2223.

44 B. Except as provided in subsection A, paragraph 5, subdivision (a)
45 of this section, an ambulance from another state shall not pick up a
46 patient in this state and transport that patient to another location in
47 this state unless that ambulance is registered under this chapter.

1 Sec. 3. Title 36, chapter 21.1, article 1, Arizona Revised
2 Statutes, is amended by adding section 36-2220.01, to read:

3 36-2220.01. Ambulance services; information on calls; public
4 availability; civil penalty; definition

5 A. EACH AMBULANCE SERVICE SHALL PROVIDE THE FOLLOWING INFORMATION
6 ON A QUARTERLY BASIS TO THE DEPARTMENT IN A DEPARTMENT-APPROVED FORMAT, AS
7 APPLICABLE:

8 1. THE EMERGENCY MEDICAL DISPATCH CLASSIFICATION FOR EACH CALL FOR
9 SERVICE OR INTERFACILITY TRANSPORT.

10 2. FOR EACH CALL FOR SERVICE FOR WHICH AN AMBULANCE IS DISPATCHED,
11 THE FOLLOWING INFORMATION, AS APPLICABLE:

12 (a) THE DISPATCH TIME.

13 (b) THE STAGING TIME.

14 (c) THE CANCELED TIME.

15 (d) THE ON-SCENE TIME.

16 (e) THE EN ROUTE TIME.

17 (f) THE HOSPITAL ARRIVAL TIME.

18 (g) THE HOSPITAL RELEASE TIME.

19 3. IF AN AMBULANCE SERVICE PROVIDER MADE A REQUEST FOR ASSISTANCE
20 TO ANOTHER AMBULANCE SERVICE PROVIDER, THE DATE AND TIME OF ANY INSTANCE
21 IN WHICH AN AMBULANCE SERVICE DECLINED TO PROVIDE MUTUAL AID TO ANOTHER
22 CERTIFICATE OF NECESSITY HOLDER AND AN EXPLANATION WHY THE REQUEST FOR
23 ASSISTANCE WAS DECLINED.

24 4. THE DETAILS OF SUBSTANTIATED COMPLAINTS RECEIVED FROM AN
25 INDIVIDUAL OR HEALTH CARE INSTITUTION AS PRESCRIBED IN RULE BY THE
26 DEPARTMENT.

27 5. THE DETAILS OF ANY MEDICATION ERROR THAT RESULTS IN PATIENT
28 INJURY OR PATIENT DEATH.

29 6. ANY UNINTENDED INJURY OR HARM TO A PATIENT THAT OCCURRED WHILE
30 PROVIDING PREHOSPITAL CARE.

31 B. THE DEPARTMENT SHALL MAKE THE INFORMATION RECEIVED PURSUANT TO
32 SUBSECTION A OF THIS SECTION AVAILABLE TO THE PUBLIC ON REQUEST, EXCEPT
33 THAT THE DEPARTMENT SHALL REDACT ANY PERSONALLY IDENTIFYING INFORMATION.
34 THE DEPARTMENT SHALL POST THE INFORMATION RECEIVED PURSUANT TO SUBSECTION
35 A OF THIS SECTION, AS REDACTED, ON THE DEPARTMENT'S PUBLIC WEBSITE.

36 C. IF AN AMBULANCE SERVICE FAILS TO COMPLY WITH THE QUARTERLY
37 REPORTING REQUIREMENTS OF THIS SECTION, THE DEPARTMENT SHALL ISSUE A
38 NOTICE TO COMPLY TO THE AMBULANCE SERVICE WITHIN THIRTY CALENDAR DAYS
39 AFTER THE END OF THE QUARTER. THE AMBULANCE HAS FIFTEEN CALENDAR DAYS
40 AFTER RECEIVING THE NOTICE TO COMPLY WITH THE QUARTERLY REPORTING
41 REQUIREMENTS OF THIS SECTION. IF THE AMBULANCE SERVICE CONTINUES TO FAIL
42 TO COMPLY WITH THE QUARTERLY REPORTING REQUIREMENTS OF THIS SECTION, THE
43 DIRECTOR MAY IMPOSE A CIVIL PENALTY OF NOT MORE THAN \$500.

44 D. FOR THE PURPOSES OF THIS SECTION, "EMERGENCY MEDICAL DISPATCH
45 CLASSIFICATION" MEANS THE STANDARDIZED SYSTEM USED BY EMERGENCY MEDICAL
46 DISPATCHERS TO EVALUATE AND CATEGORIZE EMERGENCY MEDICAL CALLS BASED ON
47 THE NATURE AND SEVERITY OF THE INCIDENT.

1 Sec. 4. Section 36-2232, Arizona Revised Statutes, is amended to
2 read:

3 36-2232. Director; powers and duties; regulation of ambulance
4 services; inspections; response time compliance;
5 mileage rate calculation factors; online portal
6 and dashboard

7 A. The director shall adopt rules to regulate the operation of
8 ambulances and ambulance services in this state. Each rule shall identify
9 all sections and subsections of this chapter under which the rule was
10 formulated. The rules shall provide for the department to do the
11 following:

12 1. Consistent with the requirements of subsection H of this
13 section, determine, fix, alter and regulate just, reasonable and
14 sufficient rates and charges for the provision of ambulances, including
15 rates and charges for advanced life support service, basic life support
16 service, patient loaded mileage, standby waiting, subscription service
17 contracts and other contracts for services related to the provision of
18 ambulances. The director shall inform all ambulance services of the
19 procedures and methodology used to determine ambulance rates or charges.

20 2. Ensure **THAT** evidence-based quality patient care is the priority
21 for decision-making.

22 3. Regulate operating and response times of ambulances to meet the
23 needs of the public and to ensure adequate service. The rules adopted by
24 the director for certificated ambulance service response times shall
25 include uniform standards for urban, suburban, rural and wilderness
26 geographic areas within the certificate of necessity based on, at a
27 minimum, population density and geographic and medical considerations.
28 The calculation of response times shall begin when the public safety
29 answering point contacts an ambulance service for dispatch and conclude
30 when the ambulance service arrives at the dispatched location. On-scene
31 arrival times for response time measurement shall be documented by the
32 ambulance service using dispatch or global positioning system data, or a
33 combination of both, and kept on file. Response time data that is
34 compliant with the health insurance portability and accountability act of
35 1996 shall be filed annually with the department. When dispatch or global
36 positioning system connectivity is not available, the ambulance service
37 shall manually document on-scene arrival times for response time
38 measurement. The response time data shall be filed in a
39 department-approved format, and the department shall make the response
40 time data publicly available.

41 4. Review response times established pursuant to paragraph 3 of
42 this subsection with the ambulance service and update the response times
43 based on, at a minimum, population density and geographic and medical
44 considerations, and the financial impact on rates and charges, every six
45 years. One additional review each six-year period may be requested by a
46 city, town, fire district or fire authority whose jurisdictional
47 boundaries in whole or in part are within the service area of a

1 certificate of necessity or an existing certificate of necessity holder
2 within the service area of the certificate of necessity.

3 5. Determine, fix, alter and regulate bases of operation. The
4 director may issue a certificate of necessity to more than one ambulance
5 service within any base of operation. For the purposes of this paragraph,
6 "base of operation" means a service area granted under a certificate of
7 necessity.

8 6. Issue, amend, transfer, suspend or revoke certificates of
9 necessity under terms consistent with this article.

10 7. Prescribe a uniform system of accounts to be used by ambulance
11 services that conforms to standard accounting forms and principles for the
12 ambulance industry and generally accepted accounting principles.

13 8. Require the filing of an annual financial report and other data.
14 These rules shall require an ambulance service to file the report with the
15 department not later than one hundred eighty days after the completion of
16 its annual accounting period.

17 9. Regulate ambulance services in all matters affecting services to
18 the public to the end that this article may be fully carried out.

19 10. Prescribe bonding requirements, if any, for ambulance services
20 THAT ARE granted authority to provide any type of subscription service.

21 11. Offer technical assistance to ambulance services to ensure
22 compliance with the rules.

23 12. Offer technical assistance to ambulance services in order to
24 obtain or to amend a certificate of necessity.

25 13. Inspect, at a maximum of twelve-month intervals, each ambulance
26 registered pursuant to section 36-2212 to ensure that the vehicle is
27 operational and safe and that all required medical equipment is
28 operational. At the request of the provider, the inspection may be
29 performed by a facility approved by the director. If a provider requests
30 that the inspection be performed by a facility approved by the director,
31 the provider shall pay the cost of the inspection.

32 B. The director may require any ambulance service offering
33 subscription service contracts to obtain a bond in an amount determined by
34 the director that is based on the number of subscription service contract
35 holders and to file the bond with the director to protect all subscription
36 service contract holders in this state ~~who~~ THAT are covered under that
37 subscription contract.

38 C. ~~At~~ EACH ambulance service shall:

39 1. Maintain, establish, add, move or delete suboperation stations
40 within its base of operation to ensure that the ambulance service meets
41 the established response times or those approved by the director in a
42 political subdivision contract.

43 2. Determine the operating hours of its suboperation stations to
44 provide for coverage of its base of operation.

45 3. Provide the department with a list of suboperation station
46 locations.

1 4. Notify the department not later than thirty days after the
2 ambulance service makes a change in the number or location of its
3 suboperation stations.

4 5. ~~Beginning January 1, 2024,~~ Install and maintain an electronic
5 global positioning system monitoring device in each vehicle that is used
6 for transport to record on-scene arrival times for response time
7 measurement. The department ~~shall~~ MAY provide a waiver on a
8 department-approved form to an ambulance service that can reasonably
9 demonstrate it is unable to meet the requirements of this paragraph
10 BECAUSE AT LEAST THIRTY PERCENT OF THE SERVICE AREA DOES NOT HAVE GLOBAL
11 POSITIONING SYSTEM COVERAGE. A WAIVER ISSUED PURSUANT TO THIS PARAGRAPH
12 EXPIRES ON APRIL 1 OF EACH YEAR AND MAY BE RENEWED ANNUALLY.

13 D. At any time, the director or the director's agents may:

14 1. Inquire into the operation of an ambulance service, including a
15 person operating an ambulance that has not been issued a certificate of
16 registration or a person who does not have or is operating outside of a
17 certificate of necessity.

18 2. Conduct on-site inspections of facilities, communications
19 equipment, vehicles, procedures, materials and equipment.

20 3. Review the qualifications of ambulance attendants.

21 E. If all ambulance services that have been granted authority to
22 operate within the same service area or that have overlapping certificates
23 of necessity apply for uniform rates and charges, the director may
24 establish uniform rates and charges for the service area.

25 F. In consultation with the medical director of the BUREAU OF
26 emergency medical services and trauma system, the emergency medical
27 services council and the medical direction commission, the director of the
28 department of health services shall establish protocols for ambulance
29 services to refer and advise a patient or transport a patient by the most
30 appropriate means to the most appropriate provider of medical services
31 based on the patient's condition. The protocols shall include triage and
32 treatment protocols that allow all classifications of emergency medical
33 care technicians responding to a person who has accessed 911, or a similar
34 public dispatch number, for a condition that does not pose an immediate
35 threat to life or limb to refer and advise a patient or transport a
36 patient to the most appropriate health care institution as defined in
37 section 36-401 based on the patient's condition, taking into consideration
38 factors including patient choice, the patient's health care provider,
39 specialized health care facilities and local protocols.

40 G. The director, when reviewing an ambulance service's response
41 time compliance with its certificate of necessity, shall consider in
42 addition to other factors the effect of hospital diversion, delayed
43 emergency department admission and the number of ambulances engaged in
44 response or transport in the affected area.

45 H. The department shall incorporate all of the following factors
46 when calculating the proposed mileage rate:

- 1 1. The cost of licensure and registration of each ground ambulance
- 2 vehicle.
- 3 2. The cost of fuel.
- 4 3. The cost of ground ambulance vehicle maintenance.
- 5 4. The cost of ground ambulance vehicle repair.
- 6 5. The cost of tires.
- 7 6. The cost of ground ambulance vehicle insurance.
- 8 7. The cost of mechanic wages, benefits and payroll taxes.
- 9 8. The cost of loan interest related to the ground ambulance
- 10 vehicles.
- 11 9. The cost of the weighted allocation of overhead.
- 12 10. The cost of ground ambulance vehicle depreciation.
- 13 11. The cost of reserves for replacement of ground ambulance
- 14 vehicles and equipment.

15 I. THE DEPARTMENT SHALL:

- 16 1. ESTABLISH AN ONLINE CERTIFICATE OF NECESSITY APPLICATION PORTAL
- 17 TO ALLOW APPLICANTS TO TRACK THE STATUS OF THEIR APPLICATION AND THE
- 18 APPLICABLE DEADLINES AS PRESCRIBED IN RULE BY THE DEPARTMENT.
- 19 2. MAKE AVAILABLE TO THE PUBLIC ON THE DEPARTMENT'S PUBLIC WEBSITE
- 20 A DASHBOARD OF AMBULANCE SERVICE RESPONSE TIMES THAT CAN BE REVIEWED BY
- 21 CALL TYPE AND THE PERCENTAGE OF CALLS THAT REQUIRED ADVANCED LIFE SUPPORT
- 22 SERVICES.

23 Sec. 5. Section 36-2233, Arizona Revised Statutes, is amended to

24 read:

25 36-2233. Certificate of necessity to operate an ambulance

26 service; application; notification of interested

27 parties; exceptions; service areas

28 A. Any person wishing to operate an ambulance service in this state

29 shall apply to the department on a form prescribed by the director for a

30 certificate of necessity.

31 B. Within one hundred eighty days after receiving an application

32 for a certificate of necessity as prescribed in this section, the director

33 shall make a determination based on whether necessity for the ambulance

34 service is found to exist and the applicant meets the requirements of

35 subsection F of this section. If the director requests additional

36 information from the applicant after initial review, the applicant ~~shall~~

37 ~~have~~ HAS thirty business days to respond. On request, the director may

38 give the applicant one additional period of thirty business days to

39 respond. If the applicant fails to respond to the director's request for

40 additional information, the department shall deem the initial or amended

41 application withdrawn. An application deemed withdrawn is not an

42 appealable agency action pursuant to title 41, chapter 6, article 10. The

43 applicant may appeal a denial only pursuant to section 36-2234. The one

44 hundred eighty-day period for the director to make the determination of

45 necessity does not include the time the applicant uses to respond to

46 requests for additional information.

1 C. On receipt of an initial or amended application for a
2 certificate of necessity, the department shall post a notice of the
3 application on its website. Within thirty days after the department posts
4 a notice pursuant to this subsection, any interested party may provide
5 information to the director on a form in a department-approved format for
6 consideration. If an interested party fails to respond to the notice
7 within sixty days in a department-approved format, the information may not
8 be considered during the review of the application.

9 D. For the purposes of this section, a city, town, fire district,
10 fire authority or tribal government whose jurisdictional boundaries in
11 whole or in part are within the service area of a certificate of
12 necessity, an existing certificate of necessity holder within the service
13 area of the certificate of necessity or a hospital that is licensed
14 pursuant to chapter 4 of this title and that is located within the service
15 area of a certificate of necessity is considered to be an interested party
16 as a matter of law.

17 E. All interested parties shall be notified of any application for
18 an initial or amended certificate of necessity within fifteen days after
19 the application is filed, within fifteen days after the application is
20 complete and within fifteen days after a decision by the director. The
21 director's decision pursuant to subsection F of this section is final
22 unless appealed pursuant to section 36-2234, subsection A.

23 F. The director shall issue a certificate of necessity if all of
24 the following apply:

25 1. The director finds that public necessity requires the service or
26 any part of the service proposed by the applicant.

27 2. The director finds that the applicant is fit and proper to
28 provide the service.

29 3. The applicant has paid the appropriate fees pursuant to section
30 36-2240.

31 4. The applicant has filed a surety bond pursuant to section
32 36-2237.

33 G. THE DIRECTOR MAY NOT REQUIRE AN APPLICANT TO PURCHASE EQUIPMENT,
34 AMBULANCES OR OTHER VEHICLES BEFORE APPROVING THE CERTIFICATE OF NECESSITY
35 IF THE APPLICANT CAN DEMONSTRATE THE ABILITY TO PROVIDE ALL SERVICES
36 REQUIRED PURSUANT TO A CERTIFICATE OF NECESSITY ISSUED PURSUANT TO THIS
37 ARTICLE.

38 ~~G.~~ H. A certificate of necessity issued pursuant to subsection
39 F of this section shall be for all or part of the service proposed by the
40 applicant as determined necessary by the director for public convenience
41 and necessity.

42 I. NOTWITHSTANDING ANY OTHER REQUIREMENT OF THIS CHAPTER TO THE
43 CONTRARY, IF A GEOGRAPHIC AREA OF A CITY, TOWN OR FIRE DISTRICT HAS A
44 POPULATION OF LESS THAN TEN THOUSAND PERSONS AND IS NOT WITHIN THE SERVICE
45 AREA OF A CERTIFICATE OF NECESSITY, THE DIRECTOR ~~[MAY]~~ [SHALL] ISSUE A
46 CERTIFICATE OF NECESSITY TO THE CITY, TOWN OR FIRE DISTRICT OR A PRIVATE
47 AMBULANCE SERVICE TO PROVIDE AMBULANCE SERVICES TO THAT GEOGRAPHIC AREA IF

1 THE CITY, TOWN OR FIRE DISTRICT OR THE PRIVATE AMBULANCE SERVICE CAN
2 DEMONSTRATE THE ABILITY TO PROVIDE ALL SERVICES REQUIRED PURSUANT TO A
3 CERTIFICATE OF NECESSITY ISSUED PURSUANT TO THIS ARTICLE.

4 ~~J. [IF A GEOGRAPHIC AREA OF A CITY, TOWN OR FIRE DISTRICT HAS A~~
5 ~~POPULATION OF LESS THAN TEN THOUSAND PERSONS AND HAS A CURRENT CERTIFICATE~~
6 ~~OF NECESSITY HOLDER THAT HAS NOT MET THE CERTIFICATE OF NECESSITY~~
7 ~~CONDITIONS FOR AT LEAST TWELVE MONTHS,] THE DIRECTOR MAY ISSUE A~~
8 CERTIFICATE OF NECESSITY TO A CITY, TOWN OR FIRE DISTRICT OR PRIVATE
9 AMBULANCE SERVICE TO PROVIDE AMBULANCE SERVICES TO ~~[THAT]~~ [A] GEOGRAPHIC
10 AREA ~~[OF THE CITY, TOWN OR FIRE DISTRICT THAT HAS A POPULATION OF LESS~~
11 ~~THAN TEN THOUSAND PERSONS]~~ IF [BOTH:

12 1. THE GEOGRAPHIC AREA HAS A CURRENT CERTIFICATE OF NECESSITY
13 HOLDER THAT HAS, FOR AT LEAST TWELVE MONTHS, EITHER:

14 (a) DEMONSTRATED NONCOMPLIANCE WITH THE CERTIFICATE OF NECESSITY
15 CONDITIONS WITH SUCH SEVERITY AS TO AFFECT THE PUBLIC HEALTH AND SAFETY.

16 (b) BLATANTLY DISREGARDED THE REQUIREMENTS OF THE CERTIFICATE OF
17 NECESSITY CONDITIONS.

18 2.] THE CITY, TOWN OR FIRE DISTRICT OR PRIVATE AMBULANCE SERVICE
19 CAN DEMONSTRATE THE ABILITY TO PROVIDE ALL SERVICES REQUIRED PURSUANT TO A
20 CERTIFICATE OF NECESSITY ISSUED PURSUANT TO THIS ARTICLE.

21 ~~H.~~ K. This section does not require a certificate of necessity
22 for:

23 1. Vehicles and persons that are exempt from a certificate of
24 registration pursuant to section 36-2217.

25 2. Ambulance services operating under temporary authority pursuant
26 to section 36-2242.

27 ~~I.~~ L. The director may grant a service area by one or any
28 combination of the following descriptions:

29 1. Metes and bounds.

30 2. A city, town or political subdivision not limited to a specific
31 date. The merger or consolidation of two or more fire districts pursuant
32 to section 48-820 or 48-822 does not expand the service area boundaries of
33 an existing certificate of necessity.

34 3. A city, town or political subdivision as of a specific date that
35 does not include annexation.

36 Sec. 6. Section 36-2234, Arizona Revised Statutes, is amended to
37 read:

38 36-2234. Hearings; waiver of hearing; appeals; emergency
39 action; suspension; judicial review; definition

40 A. The applicant or any certificate of necessity holder whose
41 ambulance service area in whole or in part is within the affected service
42 area of the initial or amended certificate of necessity may appeal
43 pursuant to title 41, chapter 6, article 10 the director's determination
44 within thirty days after the decision. If an appeal is made, the director
45 shall require ~~THAT~~ a public hearing be held within one hundred twenty days
46 after the hearing notice is issued on the director's determination on the
47 initial or amended certificate of necessity.

1 B. For the purposes of any hearing held pursuant to this section, a
2 city, town, fire district, fire authority or tribal government whose
3 jurisdictional boundaries in whole or in part are within the service area
4 of a certificate of necessity, an existing certificate of necessity holder
5 within the service area of the certificate of necessity or a hospital that
6 is licensed pursuant to chapter 4 of this title and that is located within
7 the service area of a certificate of necessity is considered to be an
8 interested party as a matter of law.

9 C. The director shall require a public hearing on any proposed
10 action relating to an adjustment of general public rates, charges or
11 certificate of necessity transfers unless subsection E, G or ~~⊖~~ P of this
12 section applies.

13 D. An appeal pursuant to subsection A of this section or a public
14 hearing held pursuant to subsection C of this section shall meet the
15 following requirements:

16 1. The hearing shall be held pursuant to title 41, chapter 6,
17 article 10, except as specifically provided in this section.

18 2. The director shall mail notice of the hearing to every ambulance
19 service in the affected region and every interested party as specified in
20 subsection B of this section not later than fifteen days before the
21 hearing.

22 3. The director may mail notice to other persons who the director
23 determines are interested in the hearing.

24 4. In a hearing or rehearing conducted pursuant to this article, an
25 ambulance service may be represented by a corporate officer, an employee
26 or a designee who has been specifically authorized by the ambulance
27 service to represent it.

28 5. FOR AN APPEAL PURSUANT TO SUBSECTION A OF THIS SECTION, AN
29 AMBULANCE SERVICE IN THE AFFECTED REGION AND EACH INTERESTED PARTY AS
30 SPECIFIED IN SUBSECTION B OF THIS SECTION HAVE SEVEN DAYS AFTER RECEIVING
31 THE HEARING NOTICE MAILED PURSUANT TO PARAGRAPH 2 OF THIS SUBSECTION TO
32 INTERVENE.

33 ~~5.~~ 6. A certificate of necessity appeal hearing may not last more
34 than five consecutive business days unless the administrative law judge
35 determines, in writing, on the final day of the hearing that there is an
36 extraordinary need for additional hearing days. The administrative law
37 judge in that case may add up to five additional consecutive business days
38 for the hearing. The additional hearing days shall be calendared within
39 thirty days after the end of the initial hearing.

40 ~~6.~~ 7. The administrative law judge of the office of administrative
41 hearings shall issue a written decision within twenty days after the
42 hearing is concluded. The written decision shall contain a concise
43 explanation of the reasons supporting the decision, including the findings
44 of fact and conclusions of law. The administrative law judge shall serve
45 a copy of the decision on the department and all parties to the action.
46 On request of the department, the office of administrative hearings shall
47 also transmit to the department the record of the hearing as described in

1 section 12-904. A copy of the administrative law judge's decision is
2 deemed sent on personal delivery of the decision or five days after the
3 decision is mailed to the director.

4 ~~7.~~ 8. Within thirty days after the date the office of
5 administrative hearings sends a copy of the administrative law judge's
6 decision to the department, the director shall review the decision and
7 accept, reject or modify the decision. If the director rejects or
8 modifies the decision, the director must file with the office of
9 administrative hearings and serve on all parties a copy of the
10 administrative law judge's decision with the director's rejection or
11 modification and a written justification setting forth the reasons for the
12 rejection or modification of each finding of fact or conclusion of law.
13 If there is a rejection or modification of a conclusion of law, the
14 written justification shall be sent to the president of the senate and the
15 speaker of the house of representatives.

16 ~~8.~~ 9. If the director does not accept, reject or modify the
17 administrative law judge's decision within thirty days after the date the
18 office of administrative hearings sends a copy of the administrative law
19 judge's decision to the director, as evidenced by receipt of such action
20 by the office of administrative hearings on or before the thirtieth day,
21 the office of administrative hearings shall certify the administrative law
22 judge's decision as the final administrative decision.

23 ~~9.~~ 10. The decision entered as specifically provided by this
24 subsection is the final administrative decision.

25 E. The director may waive the hearing required under subsection C
26 of this section if notification, including a general description of the
27 proposed action of the department and the time and manner for any
28 interested person to request a hearing, is given and all of the following
29 apply:

30 1. Notification of the proposed action has been sent to every
31 ambulance service in the affected region not later than fifteen days
32 before the action.

33 2. The director has notified other persons who the director
34 determines are interested in the proposed action not later than fifteen
35 days before the action.

36 3. The director has published notice of the proposed action in a
37 newspaper of general circulation in the affected region at least once each
38 week for two consecutive weeks before the action is taken.

39 4. The director has received no requests within the fifteen-day
40 notification period for a hearing to be held on the proposed action.

41 F. If the director receives a request pursuant to subsection E,
42 paragraph 4 of this section, the director shall hold a hearing in
43 compliance with subsection D of this section.

44 G. The director shall not hold a hearing if a person requests a
45 hearing regarding a rate increase that does not exceed the amount computed
46 as follows:

1 1. Determine the percentage growth in the transportation consumer
2 price index of the United States department of labor, bureau of labor
3 statistics, from the end of the second preceding calendar year to the
4 calendar year immediately preceding the calendar year for which the rate
5 increase is requested.

6 2. Determine the percentage growth in the medical care consumer
7 price index of the United States department of labor, bureau of labor
8 statistics, from the end of the second preceding calendar year to the
9 calendar year immediately preceding the calendar year for which the rate
10 increase is requested.

11 3. Add the amount determined in paragraph 1 of this subsection to
12 the amount determined in paragraph 2 of this subsection and divide the sum
13 by two.

14 H. A rate increase authorized pursuant to subsection G of this
15 section is deemed to be fixed by the department at the requested level.
16 Notwithstanding subsection E of this section, the department shall hold a
17 hearing pursuant to section 36-2232, subsection E for any proposed uniform
18 rate or charge that exceeds the annual rate increase prescribed in
19 subsection G of this section. The department shall require the applicants
20 to submit the following information signed by the designated financial
21 officer and the chief executive of the ambulance service who has fiduciary
22 responsibility for providing accurate financial information:

23 1. A financial statement for the previous twenty-four months
24 relating to the certificated areas.

25 2. Any additional information the department requires to analyze
26 the request.

27 I. If an ambulance service with an established general public rate
28 applies for a contract rate or range of rates that is up to thirty percent
29 less than its established rate, the director shall grant the rate without
30 a public hearing or waiver, and without any right of intervention, unless
31 within ninety days after the filing of a completed application the
32 director determines that the contract rate or range of rates applied for
33 does not accurately reflect the cost and economics of providing the
34 contract services, would adversely affect the service available to the
35 general public in the area of service as designated by its certificate of
36 necessity or would cause any fixed rate, fare or charge to the general
37 public to be adversely affected.

38 J. If the department disallows a proposed contract rate pursuant to
39 subsection I of this section, the ambulance service has a right to a
40 hearing for review of the proposed contract rate or range of rates.

41 K. The director may adopt rules for the establishment of a contract
42 rate or range of rates that may be implemented and that exceeds the thirty
43 percent rate variance identified pursuant to subsection I of this section.

44 L. Subsections I, J and K of this section are limited to contract
45 rates or a range of rates applied for prescheduled, interfacility or
46 convalescent transports.

1 M. A service contract between an ambulance service and a political
2 subdivision of this state, including local fire districts, shall be filed
3 with and approved by the department in accordance with the following
4 requirements:

5 1. On receipt of the proposed contract, the department has fifteen
6 days to review the contract and notify the ambulance service of any
7 additional information the department requires, recommended corrections or
8 any provision that does or may violate this article.

9 2. The ambulance service has fifteen days to provide the department
10 with the information requested or to submit a revised or amended contract
11 if required under paragraph 1 of this subsection.

12 3. The contract becomes effective fifteen days after the ambulance
13 service complies with the department's request unless the department
14 determines that any rate or charge or other provisions specified in the
15 contract will cause any fixed rate or charge to the general public rate to
16 be adversely affected or the contract would be in violation of the
17 ambulance service's certificate of necessity.

18 4. If the department disallows a proposed contract pursuant to this
19 subsection, the ambulance service has a right to a hearing for review of
20 the proposed contract.

21 5. The rates and charges contained in the contract are the rates
22 and charges fixed by the director in a decision or order for the ambulance
23 service and conform to the ambulance service's current or subsequent
24 general public rates and charges.

25 6. The area of response is within the ambulance service's
26 certificated area.

27 N. In case of emergency, the director may take action providing for
28 immediate suspension of a certificate of registration or a certificate of
29 necessity, or both, under this section without notice or a hearing if the
30 director determines that a potential threat to the public health and
31 safety exists. If such an action is taken by the director, the director
32 shall conduct a hearing within ten days after the date of the director's
33 action unless the person against whom the action is directed waives the
34 right to have a hearing held within ten days. If the ten-day hearing
35 requirement is waived, the director shall set a date mutually agreeable to
36 the interested parties. The purpose of the hearing is to review the
37 decision of the director to take such an action. The director shall make
38 findings of fact and may continue, suspend or modify the director's
39 action.

40 O. THE DIRECTOR SHALL ASSESS A CIVIL PENALTY OF \$1,500 ON AN
41 AMBULANCE SERVICE IF THE AMBULANCE SERVICE IS NOT COMPLYING WITH THE
42 CERTIFICATE OF NECESSITY'S REQUIREMENTS. THE CERTIFICATE OF NECESSITY
43 HOLDER MAY APPEAL THE DIRECTOR'S DECISION PURSUANT TO THIS SUBSECTION BY
44 REQUESTING A HEARING PURSUANT TO TITLE 41, CHAPTER 6, ARTICLE 10.

45 ~~O.~~ P. The director shall waive the hearing required under
46 subsection C of this section if geographic changes in suboperation

1 stations do not alter the service area or adversely affect approved
2 response times.

3 ~~P.~~ Q. Except as provided in section 41-1092.08, subsection H, a
4 final decision of the director relating to an adjustment of general public
5 rates, charges or certificate of necessity transfers is subject to
6 judicial review pursuant to title 12, chapter 7, article 6.

7 ~~Q.~~ R. The final administrative decision of the director or the
8 administrative law judge as prescribed in subsection D of this section for
9 an initial or amended certificate of necessity is subject to judicial
10 review pursuant to title 12, chapter 7, article 6.

11 ~~R.~~ S. For the purposes of this section, "hearing day":

12 1. Means any portion of a business day that is used for any
13 hearing-related activity, including testimony, argument or presentation of
14 evidence.

15 2. Does not include prehearing conferences or other administrative
16 matters that occur before the start of the hearing.

17 Sec. 7. Section 36-2235, Arizona Revised Statutes, is amended to
18 read:

19 36-2235. Terms of certificates of necessity; initial term;
20 renewal

21 A. The initial certificate of necessity issued pursuant to section
22 36-2233 to each ambulance service shall be for a term of one year.

23 B. On the expiration of a certificate of necessity, if the holder
24 of the certificate OF NECESSITY meets all requirements, applies for a
25 renewal and pays the fees prescribed in section 36-2240, the director
26 shall renew the certificate OF NECESSITY for a term of three years without
27 public hearing or waiver unless cause is shown to set a hearing to
28 consider denial or renewal for a shorter term.

29 C. If the director does not conclude a hearing to show cause within
30 ninety days of the expiration date of the certificate OF NECESSITY, the
31 certificate OF NECESSITY shall be renewed for a period of ~~not less than~~ AT
32 LEAST one year. The term of the certificate OF NECESSITY shall be
33 ~~extended to~~ RENEWED FOR three years if the director determines that cause
34 is not established for denial or renewal for a shorter term. For the
35 purposes of this subsection, "hearing to show cause" means a hearing
36 ordered by the director pursuant to section 36-2245 to determine ~~if~~
37 WHETHER any grounds exist to prevent an ambulance service from carrying
38 out ~~the provisions of~~ subsection B of this section during the current term
39 of the certificate OF NECESSITY.

40 D. THE DIRECTOR SHALL BASE ALL DECISIONS RELATING TO THE RENEWAL OF
41 A CERTIFICATE OF NECESSITY ON CURRENT DATA.

1 Sec. 8. Section 36-2236, Arizona Revised Statutes, is amended to
2 read:

3 36-2236. Certificates of necessity; nature; transfer;
4 suspension; service area; population changes

5 A. A certificate of necessity issued pursuant to this article is
6 not a franchise, may be revoked by the director and does not confer a
7 property right on its holder.

8 B. A certificate of necessity shall not be assigned or otherwise
9 transferred without the written approval of the director. When any
10 certificate OF NECESSITY is assigned or transferred, the director shall
11 issue to the assignee or transferee a new certificate OF NECESSITY that is
12 valid only for the unexpired term of the transferred or assigned
13 certificate OF NECESSITY.

14 C. In case of emergency, the director may suspend a certificate of
15 necessity as provided in section 36-2234.

16 D. If a certificate of necessity issued pursuant to this article is
17 issued to a city, town, fire district, fire authority or other political
18 subdivision of this state, the service area shall be all the geographic
19 area lying within the jurisdictional boundaries of the city, town, fire
20 district, fire authority or political subdivision, unless the certificate
21 OF NECESSITY issued by the director specifically excludes a portion of the
22 city, town, fire district, fire authority or political subdivision or
23 includes an additional service area outside the jurisdictional boundaries
24 of the city, town, fire district, fire authority or other political
25 subdivision. If the jurisdictional boundaries of a city, town, fire
26 district, fire authority or other political subdivision expand, the
27 service area in the certificate of necessity expands to reflect those
28 jurisdictional boundaries, except as prescribed in section 36-2233,
29 subsection ~~L~~ L, paragraph 2. This subsection does not affect the
30 validity of any previously granted certificate OF NECESSITY for an
31 unincorporated area lying within the boundaries of a city.

32 E. If the population of a service area changes by ten percent or
33 more based on the most recent decennial census or five-year census
34 estimate, the department must conduct a review to determine whether
35 adjustments must be made to the response times in the service area, taking
36 into consideration the impact on rates and charges.

37 Enroll and engross to conform

38 Amend title to conform

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